

CONFIDENTIAL NO-LOSS PRIZE SAVINGS · THE MAINNET PLAN

VaultShot → Mainnet

Plugging no-loss prize savings into the first live confidential yield market on Ethereum.

VaultShot today: V2, live on Sepolia

- **V1 — FoggyPot (shipped)**

Plaintext deposits, encrypted internally. Two-step withdraw. Proved the core no-loss mechanic works under FHE.

- **V2 — VaultShot (current)**

Confidential-native: deposits, balances, and withdrawals are genuine encrypted cUSD transfers end to end. Two-phase draw reveals only the aggregate total. Single-transaction withdraw, anytime.

- **The gap**

V2's prize budget is funded by the admin manually — a placeholder for a real yield source. That placeholder is what V3 replaces.

Zama's mainnet is live on Ethereum

Zama Protocol launched its mainnet on Ethereum on December 30, 2025, and executed its first confidential stablecoin transfer on-chain — an encrypted USDT (cUSDT) transaction, for about \$0.13 in fees.

- fhEVM coprocessor performance: ~20 tx/s today, 10x faster than a year ago
- Support for more EVM chains rolling out through H1 2026; Solana targeted H2 2026
- GPU-accelerated coprocessor: testnet June 2026, mainnet integration targeted Q3 2026
- \$ZAMA token sealed-bid auction (Jan 2026) raised \$118–121M, 218% oversubscribed

Confidential USDC yield: also live

Steakhouse Confidential Prime USDC

Zama × Morpho × Steakhouse Financial — live since June 23, 2026

The first DeFi yield product built for confidential USDC (cUSDC) on Ethereum. Depositors convert USDC into cUSDC — Zama's encrypted wrapper of Circle's stablecoin — directly on Ethereum, no bridging required.

- Capital routes into Steakhouse's existing Prime v2 strategy on Morpho (cbBTC / WBTC / wstETH collateral)
- Deposits are batched every 24 hours — the batch total is visible, no individual contribution is
- ~3.5–5% net APY, comparable to existing hundreds-of-millions-TVL Prime vaults

THE INSIGHT

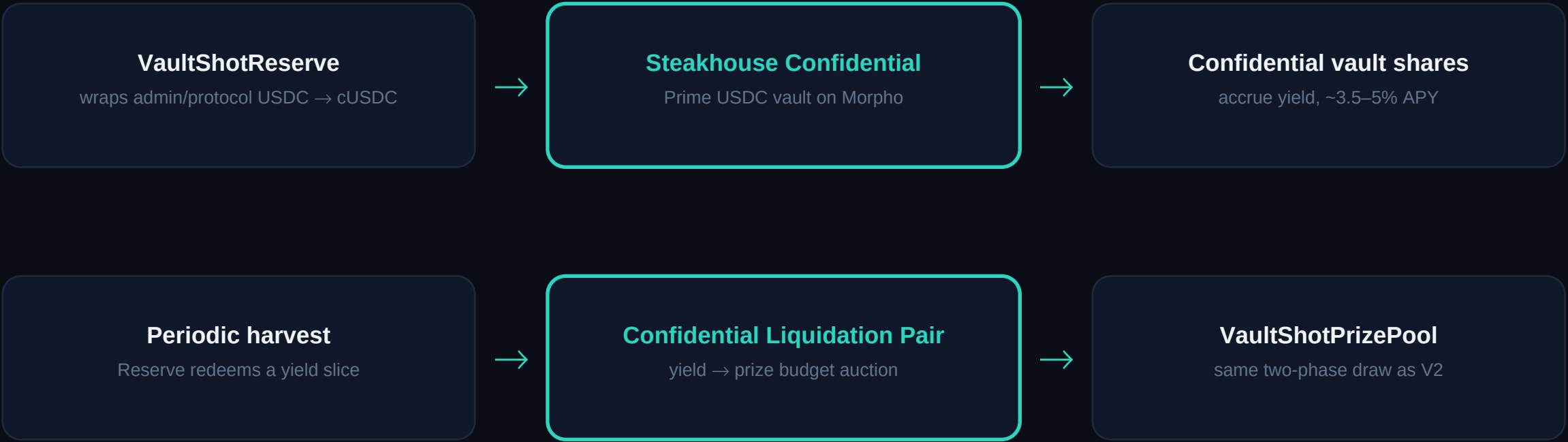
VaultShot doesn't need to invent yield. It needs to plug into what already shipped.

V2's Reserve holds admin-funded mock yield — a deliberate, documented stand-in for a real strategy. That stand-in can now be replaced with something that didn't exist when VaultShot's architecture was designed: an audited, institutional-grade, and — crucially — already confidential yield vault, live on Ethereum mainnet today.

The V3 thesis

Same fhEVM stack. Same ERC-7984 confidential token standard. Same Zama Relayer SDK. VaultShot's V2 architecture already speaks the exact language this mainnet infrastructure runs on.

Integration architecture



Individual balances stay encrypted throughout — only batch/aggregate totals are ever revealed.

A Confidential Liquidation Pair

PoolTogether V5 solved “yield → prize” with the Liquidation Pair: a one-directional AMM using a continuous gradual Dutch auction (CGDA) to sell accrued yield for prize tokens. Permissionless bots compete for the arbitrage; the protocol never has to price anything itself.

VaultShot's twist:

The yield being auctioned is itself confidential (cUSDC-denominated). So the auction can't price against a plaintext yield balance the way PoolTogether's does. VaultShot instead reveals only a periodic aggregate — exactly the same pattern it already uses for its own draw total, and the same 24-hour batching privacy model Steakhouse's own vault uses for deposits.

What stays public vs. encrypted

Public: the batch's total harvested yield, and the auction's clearing price.

Encrypted: every depositor's share of that yield, and their resulting prize-pool balance.

Same FHE public-decrypt primitive VaultShot already uses for markTotalForDraw() — no new cryptographic primitive needed.

Milestones to mainnet

01 Security audit

Independent audit of all VaultShot V2 contracts before any mainnet capital is at risk.

02 Reserve ↔ Steakhouse integration

Build the deposit/redeem wrapper connecting VaultShotReserve to the Steakhouse Confidential Prime USDC vault on Morpho.

03 Confidential Liquidation Pair

Design, build, and test the encrypted yield-auction contract described above.

04 Decentralized keeper network

Replace admin/keeper-triggered draws and yield harvests with a permissionless, incentivized keeper network.

05 Multi-pool, multi-asset

Short / medium / long draw-horizon pools; support beyond a single stablecoin.

06 Mainnet launch

Deploy on an Ethereum L2 for low gas costs, once Zama's fhEVM is production-ready there.

Two proven primitives. One new combination.



A decade of no-loss savings

PoolTogether's mechanic — deposit, never lose principal, win a chance at the pool's yield — is proven at hundreds of millions in TVL.



The first live confidential yield vault

Zama, Morpho, and Steakhouse just shipped the first cUSDC yield product on Ethereum. Nobody has connected it to a no-loss prize protocol yet.



Zero architecture rewrite

VaultShot already runs on fhEVM, ERC-7984, and the Zama Relayer SDK — the exact stack this mainnet infrastructure speaks.

CLOSING

**From FoggyPot to VaultShot to mainnet —
plugging no-loss prize savings into the first live
confidential yield market on Ethereum.**

SOURCES & FURTHER READING

References

- Zama Protocol Mainnet Launches, Token Listing in April 2026 — Phemex News
- Ethereum's Privacy Breakthrough: Zama Mainnet Delivers Confidential Transactions For \$0.13 — MEXC Blog
- Zama Launches USDC Confidential Lending in Partnership with Morpho and Steakhouse Financial — Chainwire / TradingView, Benzinga, The Defiant
- Steakhouse Confidential Prime USDC Vault on Morpho: Now Live — zama.org & community.zama.org
- Introducing the fhEVM Coprocessor — zama.org
- PoolTogether V5 Protocol Design — Liquidating Yield (dev.pooltogether.com)

All figures current as of research date; verify against live sources before relying on them for financial decisions.